

We didn't use a stop-loss order. We didn't use MACD or the moving average crossover. We executed a *perfect trade* by buying exactly when we should have and selling at the ultimate high. We tested how well the double bottom worked *if you traded it perfectly*.

And that's how I measured how bullish chart patterns work.

Years ago, someone asked me if this was the same as placing a trailing stop-loss order 20% below the high price. It's not. If you did that, you'd be stopped out at J (the fictitious one at 13) and not E.

Incidentally, the 20% value in rule 1 comes from the idea of bull and bear markets. A decline of 20% from a high in the market averages means it slid into a bear market. A rise of 20% off a market low means it entered bull market territory. I applied that idea to individual stocks when searching for the ultimate high and low.

Ultimate Low

Finding the ultimate low for bearish chart patterns works similarly. Let's take the example of the head-and-shoulders top at GEH. We see the left shoulder at G, the head at E, and the right shoulder at H. Price confirms the pattern when price closes below the neckline. Because the neckline slopes downward in this example (not shown), I recommend entering the trade when price closes below the right armpit, which I show as the horizontal line at I. You'd short at the open the next day.

If you can program your computer to find head-and-shoulders tops, that's how you enter a trade. Nothing magical here.

What about the exit signal? Again, we could use a stop-loss order, but we already know that's not going to work from our previous example. We'd be testing various locations of the stop and not the chart pattern. So let's find the ultimate low.

Two rules:

1. Find the lowest low before price rises 20%, measured low to close.
2. If price closes above the top of the chart pattern, then the search for the ultimate low ends, and we use the lowest low found after entering the trade.